



Sampath Bank
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SAMPATH BANK PLC

**Interim Financial Statements
for the year ended 31st December 2024
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

2024 – A year of Growth and Renewal for Sampath Bank

Sri Lanka's economic recovery in 2024 marked a significant turnaround, with most sectors of the economy showing positivity in renewal and regrowth. This resurgence, fuelled by Sampath Bank's strategic focus on innovative solutions and customer centricity, enabled the Bank to perform outstandingly compared to the previous year.

Financial Performance

For the year ended 31st December 2024, the Bank achieved a Profit Before Tax (PBT) of Rs 46.7 Bn and a Profit After Tax (PAT) of Rs 27.3 Bn, marking impressive year-on-year growth of 57.0 % and 59.4% respectively. Similarly, the Sampath Group reported a PBT of Rs 49.2 Bn and a PAT of Rs 28.7 Bn, reflecting growth rates of 57.6% and 60.1% respectively.

A Snapshot of Key Financial Highlights for the Year Ended 31st December 2024

- Declaration of a first and final cash dividend of Rs 9.35 per share, marking an increase of Rs 3.50 per share compared to the previous year
- Improvement of ROE to 17.74 %, up from 12.65% in 2023
- Net Interest Income (NII) growth of 10.7%
- Loss of Rs 8.4 Bn due to the restructuring of SLISBs
- A reversal of impairment totalling Rs 15.8 Bn on investments following the government's restructuring of SLISBs
- Exchange loss of Rs 4.2 Bn due to the appreciation of the LKR against the USD by Rs 30.75
- A decrease in Impairment charges on Loans and advances by Rs 15.3 Bn in 2024
- Total tax charge of Rs 32.6 Bn, with an effective tax rate (ETR) of 54.4%
- Growth of the LKR loan book by Rs 82.6 Bn
- Robust growth in the LKR deposit portfolio, reaching Rs 1,247.3 Bn by year end 2024
- Sound Tier 1 and Total Capital Adequacy Ratios of 16.75% and 19.38%, respectively, comfortably surpassing the regulatory minimum thresholds, providing a solid capital buffer

Fund Based Income

The Bank reported a total interest income of Rs 183 Bn for the year ended 31st December 2024, reflecting a decline of 10.0% compared to 2023. This was primarily due to a lower AWPLR and reduced interest rates on government securities compared to the previous year. Interest expense for the year amounted Rs 103 Bn, decreasing by 21.4 % in response to falling market interest rates. The timely repricing of deposits and effective management of CASA levels helped reduce interest expenses, offsetting the decline in interest income. As a result, Net Interest Income (NII) increased by 10.7%, reaching Rs 80 Bn for the year.

The Net Interest Margin (NIM) however, contracted by 26 basis points, decreasing from 5.16% as of 31st December 2023 to 4.90% at the reporting date. This decline was primarily due to reduced yields across the Bank's interest-earning asset portfolio, driven by the downward trend in market interest rates.

Impact of Sovereign Debt Restructuring

The Bank had maintained a 52% provision cover against its investment in Sri Lanka International Sovereign Bonds (SLISB), with a total amortised cost of USD 112.2 Mn. The restructuring of SLISB was finalized by the Government of Sri Lanka in December 2024. Under the restructuring options offered, the Bank opted for the 'Local Option', receiving 30% of its exposure in LKR bonds and accepting a 10% nominal haircut on the face value of the remaining 70% of SLISBs. Consequently, a new USD-denominated bond was issued, representing 63% of the original face value, with the Government retaining the option to settle this bond in LKR in the event of

default. Additionally, a 'Past Due Interest' (PDI) bond was issued, applying an 11% haircut on past-due interest claims. A 1.9% consent fee on the face value was also received in bonds.

The Bank determined the exit yields in accordance with the guidelines issued by the Institute of Chartered Accountants of Sri Lanka in December 2024, titled "Accounting Treatment for International Sovereign Bonds in Line with SLFRS 9."

As a result:

- The previously booked impairment of Rs 15.8 Bn was reversed under the Impairment line in the Statement of Profit or Loss during the year 2024.
- An additional loss of Rs 8.4 Bn was recognized under the Loss/Gain on Derecognition of Financial Assets line due to the SLISB restructuring.
- The net after tax impact on the bottom line for the year ended 31st December 2024 was Rs 2.6 Bn.

Non-Fund Based Income

Fee and Commission Income

The Bank's net fee and commission income amounted to Rs 17.5 Bn, declining by 7.3% due to reduced trade-related income from lower import commission rates and the appreciation of the LKR. However, growth in fees from credit services, electronic transactions, card operations and other activities partially offset this decline.

Net Loss on Derecognition of Financial Assets

As outlined above, the Bank incurred a loss of Rs 8.4 Bn due to the SLISB restructuring. Meanwhile, the Bank gained Rs 1.1 Bn from the sale of Treasury bills and bonds.

Trading and Other Operating Income

The Bank reported a net other operating Loss of Rs 1.0 Bn for the year, driven by an exchange loss of Rs 2.4 Bn resulting from the LKR's 9.5% appreciation against the USD as well as a net trading loss of Rs 1.8 Bn from revaluation losses on forward exchange contracts. Total exchange losses for the year ended 31st December 2024 amounted to Rs 4.2 Bn, compared to Rs 1.9 Bn in the previous year.

Impairment Reversal/Charge

The Bank reported a total impairment reversal of Rs 11.7 Bn for the review period, reflecting a significant decrease of 158.2% compared to the previous year. This comprised a charge of Rs 2.8 Bn for loans and advances (2023: Rs 18.1 Bn), a reversal of Rs 15.8 Bn for Sri Lanka International Sovereign Bonds (2023: charge of Rs 5.5 Bn), and a charge of Rs 1.3 Bn for other financial assets and credit related commitments (2023: reversal of Rs 3.5 Bn).

Impairment charge on loans and advances

During the reporting period, the Bank reported a significant 84.7% reduction in the impairment charge on loans and advances. This improvement was primarily due to prudent provisioning measures taken in previous years which lowered the provision requirements for the current year, coupled with a recovery in economic activity that enhanced customer ability to meet their repayment obligations.

As of 31st December 2024, the Bank evaluated its individually significant customers and made appropriate provisions in its Financial Statements to reflect their risk profiles. The improved repayment capacity of customers bolstered by lower interest rates and favorable economic conditions, resulted in a notable enhancement in credit quality. Additionally, the positive shift in macroeconomic conditions has reduced the need for overlay allowances in most of the previously stressed segments.

Operating Expenses

During the year, the Bank's operating expenses increased by 21.2% compared to 2023, primarily driven by a 26.7% rise in personnel costs due to annual salary increments. The Bank's cost-to-income ratio (CIR) increased by 930 basis points to 45.0%, up from 35.7% in the previous year. This rise in

CIR was largely attributed to an increase in operating expenses, while total operating income declined by 3.8% during the year.

Taxation

The total tax charge for the current period increased to Rs 32.6 Bn, up from Rs 21.2 Bn in the previous year, reflecting a rise in taxable income. However, the Bank's effective tax rate marginally decreased to 54.4% in 2024, compared to 55.3% in 2023.

Dividend

The Board of Directors of the Bank has recommended a final cash dividend of Rs 9.35 per share for the financial year ended 31st December 2024, subject to shareholder approval at the 39th Annual General Meeting scheduled for 28th March 2025. The dividend payout ratio for the year stood at 40.13% (2023: 40.02%).

Key Ratios

As of 31st December 2024, the Return on Average Shareholders' Equity (after tax) increased to 17.74 %, compared to 12.65% at the end of 2023. Meanwhile, the Return on Average Assets (before tax) stood at 2.84 % as of 31st December 2024, up from 2.12% at the close of 2023.

Capital and Liquidity

During the year, the Bank's capital and liquidity ratios remained exceptionally strong, significantly exceeding the minimum regulatory requirements. As of 31st December 2024, the Bank's CET 1, Tier 1 and Total capital ratios were 16.75%, 16.75%, and 19.38%, respectively, compared to 16.35%, 16.35% and 19.56% at the end of 2023.

Additionally, the Bank's liquidity levels remained robust and well above the minimum regulatory requirements, with the All-currency Liquidity Coverage Ratio at 307.4% and the Net Stable Funding Ratio at 198.7% as of 31st December 2024, compared to 312.5% and 184.2% at the end of 2023.

Assets

As of 31st December 2024, the Bank's total assets grew by 15.3%, reaching Rs 1.8 Tn, driven by increased investments in government debt securities and an expanded loan portfolio. Gross loans rose by Rs 87.3 Bn, from Rs 877.3 Bn at the end of 2023 to Rs 964.6 Bn, primarily due to a Rs 82.6 Bn increase in LKR-denominated loans. Growth in foreign currency loans was limited to Rs 4.6 Bn, influenced by the LKR appreciation against the USD. Additionally, balances with foreign banks and placements were reallocated to foreign investments under amortized cost and FVOCI during the year.

Liabilities

The Bank's total liabilities increased by 15.6%, reaching Rs 1.6 Tn as of 31st December 2024. This growth was primarily driven by an expansion in the deposit portfolio, which rose by Rs 204.7 Bn, from Rs 1,264.5 Bn at the end of 2023 to Rs 1,469.2 Bn at year-end 2024. LKR deposits grew by Rs 209.6 Bn, while foreign currency deposits decreased by Rs 4.8 Bn, primarily due to the appreciation of the LKR against the USD. The Bank maintained its CASA ratio at stable levels, standing at 34.0% as of year-end 2024, compared to 33.4% in 2023.

Driving a Sustainable Future for Sri Lanka

The Bank has played a pivotal role in supporting Sri Lanka's economy, particularly through its Business Revival Unit, which offers tailored solutions to stressed borrowers to help revive their businesses. This initiative has not only improved credit profiles but also contributed to enhancing financial stability and fostering growth.

Sustainability continues to be at the core of Sampath Bank's CSR initiatives. The Bank's flagship program, 'Wewata Jeewayak' has ensured the restoration of many tanks and irrigation networks across

the nation, fuelling the sustenance of the agricultural sector of the economy, 'A Breath to the Ocean' encompassing ocean preservation, 'Sampath Saviya' for MSME development, 'Hope for Life' for healthcare and 'Gasai Mamai Pubudu Pothai' nurturing environmental consciousness in the young are all efforts that the Bank pursues for the sustainable future of our nation. These initiatives are designed to enhance livelihoods, conserve the environment and build resilient communities, reinforcing the Bank's commitment to a sustainable future for Sri Lanka.

Sampath Bank was honored as 'Asia's Best Bank for Corporate Responsibility' at the prestigious Euromoney Awards for Excellence 2024. This recognition underscores the Bank's exceptional contributions to corporate responsibility and sustainability, reaffirming its commitment to making a positive impact through initiatives in these critical areas.

STATEMENT OF PROFIT OR LOSS

	Bank						Group					
	For the year ended 31st December			For the quarter ended 31st December			For the year ended 31st December			For the quarter ended 31st December		
	2024	2023	Change	2024	2023	Change	2024	2023	Change	2024	2023	Change
	(Audited) Rs 000	(Audited) Rs 000	%	Rs 000	Rs 000	%	(Audited) Rs 000	(Audited) Rs 000	%	Rs 000	Rs 000	%
Gross income	195,321,016	226,154,096	(14)	41,794,179	55,655,797	(25)	206,569,194	236,504,470	(13)	44,782,569	58,415,535	(23)
Interest income	183,054,746	203,447,113	(10)	44,459,349	50,092,347	(11)	192,358,624	212,458,617	(9)	46,854,565	52,469,890	(11)
Less: Interest expense	103,046,806	131,157,456	(21)	25,039,905	30,887,279	(19)	107,696,550	137,015,683	(21)	26,369,083	32,265,224	(18)
Net interest income	80,007,940	72,289,657	11	19,419,444	19,205,068	1	84,662,074	75,442,934	12	20,485,482	20,204,666	1
Fee & commission income	22,289,477	22,909,822	(3)	5,935,154	5,588,137	6	22,981,135	23,544,833	(2)	6,210,646	5,700,725	9
Less: Fee & commission expense	4,780,225	4,023,353	19	1,384,188	1,319,969	5	4,783,742	4,025,896	19	1,386,050	1,320,647	5
Net fee & commission income	17,509,252	18,886,469	(7)	4,550,966	4,268,168	7	18,197,393	19,518,937	(7)	4,824,596	4,380,078	10
Net (loss)/gain from trading	(1,777,456)	761,786	(333)	(1,552,871)	(927,448)	(67)	(1,704,262)	708,976	(340)	(1,501,895)	(940,119)	(60)
Net gain/(loss) on derecognition of financial assets												
- at fair value through profit or loss	160,807	309,604	(48)	9,857	28,728	(66)	116,019	317,316	(63)	(37,123)	28,728	(229)
- at fair value through other comprehensive income	974,008	282,107	245	220,171	123,410	78	974,008	282,107	245	220,171	123,410	78
- impact on restructuring of SLISBs	(8,365,338)	-	(100)	(8,365,338)	-	(100)	(8,365,338)	-	(100)	(8,365,338)	-	(100)
Net other operating income	(1,015,228)	(1,556,336)	35	1,087,857	750,623	45	209,008	(807,379)	126	1,401,543	1,032,901	36
Total operating income	87,493,985	90,973,287	(4)	15,370,086	23,448,549	(34)	94,088,902	95,462,891	(1)	17,027,436	24,829,664	(31)
Less: Impairment (reversal)/charge												
Loans and advances	2,771,348	18,066,669	(85)	(320,355)	5,606,439	(106)	2,659,031	18,123,668	(85)	(402,083)	5,601,150	(107)
Sri Lanka International Sovereign Bonds	(15,787,060)	5,540,457	(385)	(16,951,168)	(955,656)	(1,674)	(15,787,060)	5,540,457	(385)	(16,951,168)	(955,656)	(1,674)
Other financial assets and credit related commitments	1,287,669	(3,458,584)	137	148,538	1,057,557	(86)	1,256,554	(3,454,523)	136	159,444	1,065,600	(85)
Total Impairment (reversal)/charge	(11,728,043)	20,148,542	(158)	(17,122,985)	5,708,340	(400)	(11,871,475)	20,209,602	(159)	(17,193,807)	5,711,094	(401)
Net operating income	99,222,028	70,824,745	40	32,493,071	17,740,209	83	105,960,377	75,253,289	41	34,221,243	19,118,570	79
Less: Operating expenses												
Personnel expenses	18,056,922	14,249,843	27	4,944,534	3,372,247	47	20,433,710	15,826,114	29	5,632,493	3,808,039	48
Depreciation and amortisation expenses	3,088,048	2,644,499	17	766,804	677,732	13	3,009,836	2,554,373	18	829,659	669,712	24
Other expenses	18,187,593	15,562,653	17	5,532,959	4,078,038	36	19,358,845	16,585,848	17	5,851,358	4,247,376	38
Total operating expenses	39,332,563	32,456,995	21	11,244,297	8,128,017	38	42,802,391	34,966,335	22	12,313,510	8,725,127	41
Operating profit before taxes on financial services	59,889,465	38,367,750	56	21,248,774	9,612,192	121	63,157,986	40,286,954	57	21,907,733	10,393,443	111
Less: Taxes on financial services												
Value added tax	11,561,312	7,519,371	54	3,866,066	1,607,222	141	12,266,093	7,938,879	55	4,074,541	1,748,936	133
Social security contribution levy	1,605,738	1,087,971	48	536,954	266,839	101	1,703,624	1,146,552	49	565,909	286,838	97
Total taxes on financial services	13,167,050	8,607,342	53	4,403,020	1,874,061	135	13,969,717	9,085,431	54	4,640,450	2,035,774	128
Profit before income tax	46,722,415	29,760,408	57	16,845,754	7,738,131	118	49,188,269	31,201,523	58	17,267,283	8,357,669	107
Less: Income tax expense	19,401,803	12,620,329	54	7,311,253	2,947,746	148	20,485,009	13,277,241	54	7,654,283	3,163,524	142
Profit for the period	27,320,612	17,140,079	59	9,534,501	4,790,385	99	28,703,260	17,924,282	60	9,613,000	5,194,145	85
Attributable to:												
Equity holders of the Bank	27,320,612	17,140,079	59	9,534,501	4,790,385	99	28,703,260	17,924,282	60	9,613,000	5,194,145	85
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	27,320,612	17,140,079	59	9,534,501	4,790,385	99	28,703,260	17,924,282	60	9,613,000	5,194,145	85
Earnings per share - Basic/Diluted (Rs)	23.30	14.62	59	8.13	4.08	99	24.48	15.28	60	8.20	4.43	85
Dividend per share												
Dividend per share: Gross (Rs)	9.35	5.85										
Dividend per share: Net (Rs)	7.95	4.97										

STATEMENT OF COMPREHENSIVE INCOME

	Bank						Group					
	For the year ended 31st December			For the quarter ended 31st December			For the year ended 31st December			For the quarter ended 31st December		
	2024	2023	Change	2024	2023	Change	2024	2023	Change	2024	2023	Change
	(Audited) Rs 000	(Audited) Rs 000	%	Rs 000	Rs 000	%	(Audited) Rs 000	(Audited) Rs 000	%	Rs 000	Rs 000	%
Profit for the period	27,320,612	17,140,079	59	9,534,501	4,790,385	99	28,703,260	17,924,282	60	9,613,000	5,194,145	85
Other comprehensive income												
Items that will be reclassified to profit or loss:												
Debt instruments at fair value through other comprehensive income:												
Gain arising on re-measurement	1,923,421	13,748,274	(86)	2,424,197	1,048,606	131	1,923,421	13,748,274	(86)	2,424,197	1,048,606	131
Reclassification to profit or loss due to derecognition	(974,008)	(282,107)	(245)	(220,171)	(123,410)	(78)	(974,008)	(282,107)	(245)	(220,171)	(123,410)	(78)
Changes in impairment recycled to profit or loss	65	281,884	(100)	39,469	21,452	84	65	281,884	(100)	39,469	21,452	84
Deferred tax effect on the above	(284,843)	(4,124,415)	93	(673,048)	(283,994)	(137)	(284,843)	(4,124,415)	93	(673,048)	(283,994)	(137)
Net other comprehensive income to be reclassified to profit or loss	664,635	9,623,636	(93)	1,570,447	662,654	137	664,635	9,623,636	(93)	1,570,447	662,654	137
Items that will not be reclassified to profit or loss:												
Equity instruments at fair value through other comprehensive income:												
(Loss)/gain arising on re-measurement	(1,286,931)	-	(100)	95,496	-	100	(1,286,931)	-	(100)	95,496	-	100
Exchange (loss)/gain in translation	(313,106)	(754,648)	59	(21,468)	11,545	(286)	(313,106)	(754,648)	59	(21,468)	11,545	(286)
Deferred tax effect on the above	480,011	226,394	112	(22,208)	(3,464)	(541)	480,011	226,394	112	(22,208)	(3,464)	(541)
	(1,120,026)	(528,254)	(112)	51,820	8,081	541	(1,120,026)	(528,254)	(112)	51,820	8,081	541
Actuarial loss on defined benefit plans	(1,912,875)	(884,546)	(116)	(1,912,875)	(884,546)	(116)	(1,907,115)	(881,559)	(116)	(1,907,115)	(881,559)	(116)
Deferred tax effect on the above	573,863	265,364	116	573,863	265,364	116	572,135	264,468	116	572,135	264,468	116
	(1,339,012)	(619,182)	(116)	(1,339,012)	(619,182)	(116)	(1,334,980)	(617,091)	(116)	(1,334,980)	(617,091)	(116)
Net other comprehensive income not to be reclassified to profit or loss	(2,459,038)	(1,147,436)	(114)	(1,287,192)	(611,101)	(111)	(2,455,006)	(1,145,345)	(114)	(1,283,160)	(609,010)	(111)
Other comprehensive income net of tax	(1,794,403)	8,476,200	(121)	283,255	51,553	449	(1,790,371)	8,478,291	(121)	287,287	53,644	436
Total comprehensive income for the period net of tax	25,526,209	25,616,279	-	9,817,756	4,841,938	103	26,912,889	26,402,573	2	9,900,287	5,247,789	89
Attributable to:												
Equity holders of the Bank	25,526,209	25,616,279	-	9,817,756	4,841,938	103	26,912,889	26,402,573	2	9,900,287	5,247,789	89
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	25,526,209	25,616,279	-	9,817,756	4,841,938	103	26,912,889	26,402,573	2	9,900,287	5,247,789	89

STATEMENT OF FINANCIAL POSITION

As at	31st December 2024 (Audited) Rs 000	Bank 31st December 2023 (Audited) Rs 000	Change %	31st December 2024 (Audited) Rs 000	Group 31st December 2023 (Audited) Rs 000	Change %
ASSETS						
Cash & cash equivalents	46,229,318	79,272,087	(42)	46,501,139	79,530,247	(42)
Balances with Central Bank of Sri Lanka	16,373,983	14,463,854	13	16,373,983	14,463,854	13
Placements with banks	26,452,245	33,741,322	(22)	26,452,245	33,741,322	(22)
Reverse repurchase agreements	1,000,220	-	100	6,596,063	150,400	4,286
Derivative financial instruments	507,054	587,577	(14)	507,054	587,577	(14)
Financial assets recognised through profit or loss - measured at fair value	4,614,332	4,744,188	(3)	4,614,332	4,841,302	(5)
Financial assets at amortised cost						
- loans & advances	860,151,610	756,435,559	14	901,950,481	787,355,719	15
- debt & other instruments	401,280,763	368,100,002	9	405,616,020	373,899,842	8
Financial assets - fair value through other comprehensive income	367,782,512	216,022,295	70	367,782,568	216,022,351	70
Investment in subsidiaries	4,190,721	4,110,642	2	-	-	-
Property, plant & equipment	10,854,850	9,623,120	13	22,012,514	19,960,610	10
Intangible assets	888,711	745,395	19	899,752	766,532	17
Right-of-use assets	7,860,280	3,605,525	118	5,488,197	3,152,666	74
Deferred tax assets	10,934,412	17,292,023	(37)	11,177,659	17,517,519	(36)
Other assets	18,820,112	33,204,832	(43)	21,023,359	35,386,047	(41)
Total Assets	1,777,941,123	1,541,948,421	15	1,836,995,366	1,587,375,988	16
LIABILITIES						
Due to banks	23,259,811	11,621,838	100	30,067,815	17,344,766	73
Derivative financial instruments	3,200,590	1,498,777	114	3,200,590	1,498,777	114
Securities sold under repurchase agreements	40,312,784	34,688,209	16	40,312,784	34,438,086	17
Financial liabilities at amortised cost						
- due to depositors	1,455,864,416	1,253,642,547	16	1,487,148,551	1,276,551,041	16
- due to other borrowers	8,061,364	6,637,129	21	8,061,364	6,637,129	21
- due to debt securities holders	18,891,500	26,709,893	(29)	24,741,652	30,386,809	(19)
Retirement benefit obligation	5,799,502	3,170,247	83	6,019,892	3,355,039	79
Dividend payable	298,695	212,571	41	298,695	212,571	41
Current tax liabilities	14,522,729	16,220,788	(10)	15,312,202	16,688,675	(8)
Deferred tax liabilities	-	-	-	1,465,112	1,465,112	-
Other liabilities	41,191,516	39,673,346	4	42,484,397	40,967,491	4
Total Liabilities	1,611,402,907	1,394,075,345	16	1,659,113,054	1,429,545,496	16

STATEMENT OF FINANCIAL POSITION

As at	31st December 2024 (Audited) Rs 000	Bank 31st December 2023 (Audited) Rs 000	Change %	31st December 2024 (Audited) Rs 000	Group 31st December 2023 (Audited) Rs 000	Change %
EQUITY						
Stated capital	48,741,119	48,741,119	-	48,741,119	48,741,119	-
Reserves						
Statutory reserves						
Statutory reserve fund	7,985,000	6,615,000	21	8,358,000	6,929,000	21
Special reserve	1,660,470	-	100	1,660,470	-	100
FVOCI reserve	10,888,641	11,344,032	(4)	10,888,641	11,344,032	(4)
Other reserves	83,605,907	70,606,677	18	87,103,845	74,104,615	18
Retained earnings	13,657,079	10,566,248	29	21,130,237	16,711,726	26
Total equity attributable to equity holders of the Bank	166,538,216	147,873,076	13	177,882,312	157,830,492	13
Non-controlling interest				-	-	-
Total Equity	166,538,216	147,873,076	13	177,882,312	157,830,492	13
Total Liabilities & Equity	1,777,941,123	1,541,948,421	15	1,836,995,366	1,587,375,988	16
Commitments & contingencies	523,844,321	481,333,065	9	521,302,732	479,795,279	9
Net asset value per share (Rs)	142.01	126.10	13	151.69	134.59	13
Memorandum information						
Number of employees	4,428	4,179				
Number of branches	229	229				

CERTIFICATION:

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

(Sgd)

Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the audited Financial Statements of the Bank and its subsidiary companies.

(Sgd)

Harsha Amarasekera

Chairman

17th February 2025

(Sgd)

Ayodhya Iddawela Perera

Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank (Audited)

For the year ended 31st December 2023	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	5,755,000	-	2,248,650	3,594,984	58,989,347	8,169,471	126,379,945
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	-	17,140,079	17,140,079
Other comprehensive income	-	-	-	9,095,382	-	-	(619,182)	8,476,200
Total comprehensive income for the year	-	-	-	9,095,382	-	-	16,520,897	25,616,279
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2022: scrip	1,118,626	-	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	22,346	-	22,346
Total contributions by and distributions to equity holders	1,118,626	-	-	-	-	22,346	(5,264,120)	(4,123,148)
Transfer to reserves during the year	-	860,000	-	-	-	8,000,000	(8,860,000)	-
Balance as at 31st December 2023	48,741,119	6,615,000	-	11,344,032	3,594,984	67,011,693	10,566,248	147,873,076

For the year ended 31st December 2024	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,615,000	-	11,344,032	3,594,984	67,011,693	10,566,248	147,873,076
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	-	27,320,612	27,320,612
Other comprehensive income	-	-	-	(455,391)	-	-	(1,339,012)	(1,794,403)
Total comprehensive income for the year	-	-	-	(455,391)	-	-	25,981,600	25,526,209
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders								
Final dividend for 2023: Cash	-	-	-	-	-	-	(6,860,299)	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	-	(770)	-	(770)
Total contributions by and distributions to equity holders	-	-	-	-	-	(770)	(6,860,299)	(6,861,069)
Transfer to reserves during the year	-	1,370,000	1,660,470	-	-	13,000,000	(16,030,470)	-
Balance as at 31st December 2024	48,741,119	7,985,000	1,660,470	10,888,641	3,594,984	80,010,923	13,657,079	166,538,216

STATEMENT OF CHANGES IN EQUITY

Group (Audited)

For the year ended 31st December 2023	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	6,033,000	-	2,248,650	7,092,922	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the year										
Profit for the year	-	-	-	-	-	-	17,924,282	17,924,282	-	17,924,282
Other comprehensive income	-	-	-	9,095,382	-	-	(617,091)	8,478,291	-	8,478,291
Total comprehensive income for the year	-	-	-	9,095,382	-	-	17,307,191	26,402,573	-	26,402,573
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2022: scrip	1,118,626	-	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	-	22,346	-	22,346	-	22,346
Total contributions by and distributions to equity holders	1,118,626	-	-	-	-	22,346	(5,264,120)	(4,123,148)	-	(4,123,148)
Transfer to reserves during the year	-	896,000	-	-	-	8,000,000	(8,896,000)	-	-	-
Balance as at 31st December 2023	48,741,119	6,929,000	-	11,344,032	7,092,922	67,011,693	16,711,726	157,830,492	-	157,830,492

For the year ended 31st December 2024	Stated Capital	Statutory Reserves		FVOCI Reserve	Other Reserves		Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
		Statutory Reserve Fund	Special Reserve		Revaluation Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,929,000	-	11,344,032	7,092,922	67,011,693	16,711,726	157,830,492	-	157,830,492
Total comprehensive income for the year										
Profit for the year	-	-	-	-	-	-	28,703,260	28,703,260	-	28,703,260
Other comprehensive income	-	-	-	(455,391)	-	-	(1,334,980)	(1,790,371)	-	(1,790,371)
Total comprehensive income for the year	-	-	-	(455,391)	-	-	27,368,280	26,912,889	-	26,912,889
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders										
Final dividend for 2023: Cash	-	-	-	-	-	-	(6,860,299)	(6,860,299)	-	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	-	(770)	-	(770)	-	(770)
Total contributions by and distributions to equity holders	-	-	-	-	-	(770)	(6,860,299)	(6,861,069)	-	(6,861,069)
Transfer to reserves during the year	-	1,429,000	1,660,470	-	-	13,000,000	(16,089,470)	-	-	-
Balance as at 31st December 2024	48,741,119	8,358,000	1,660,470	10,888,641	7,092,922	80,010,923	21,130,237	177,882,312	-	177,882,312

STATEMENT OF CASH FLOWS

For the year ended 31st December	Bank		Group	
	2024 (Audited) Rs 000	2023 (Audited) Rs 000	2024 (Audited) Rs 000	2023 (Audited) Rs 000
Cash flows from operating activities				
Interest receipts	180,354,147	191,742,377	189,657,484	201,389,033
Interest payments	(103,622,237)	(130,310,620)	(108,114,476)	(135,941,536)
Net commission receipts	17,492,315	18,904,279	18,180,456	19,536,747
Cash payments to employees	(15,448,145)	(12,697,724)	(17,763,626)	(14,217,850)
Taxes on financial services	(10,923,333)	(9,473,348)	(11,698,074)	(9,923,944)
Receipts from other operating activities	1,948,732	1,342,722	3,256,747	2,302,112
Cash payments to other operating activities	(17,975,503)	(15,022,764)	(18,498,833)	(16,146,309)
Operating profit before changes in operating assets & liabilities	51,825,976	44,484,922	55,019,678	46,998,253
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	(1,910,129)	17,115,331	(1,910,129)	17,115,331
Financial assets at amortised cost - loans & advances	(122,545,411)	27,859,038	(133,323,484)	25,070,961
Other assets	12,945,175	(7,228,410)	13,047,618	(7,678,957)
	(111,510,365)	37,745,959	(122,185,995)	34,507,335
Increase/(decrease) in operating liabilities				
Due to banks	12,148,873	908,354	13,392,435	2,628,776
Re-purchase agreements	5,651,885	32,522,183	5,902,008	32,272,060
Financial liabilities at amortised cost - due to depositors	224,855,561	179,368,098	233,186,218	182,753,734
Financial liabilities at amortised cost - due to other borrowers	1,426,343	(2,525,136)	1,426,343	(2,525,136)
Other liabilities	(7,396,549)	8,214,834	(6,369,275)	8,513,773
	236,686,113	218,488,333	247,537,729	223,643,207
Net cash generated from operating activities before income tax	177,001,724	300,719,214	180,371,412	305,148,795
Income tax paid	(13,973,220)	(14,344,132)	(14,754,319)	(14,934,280)
Net cash generated from operating activities	163,028,504	286,375,082	165,617,093	290,214,515
Cash flows from investing activities				
Purchase of property, plant & equipment	(2,235,969)	(1,587,186)	(3,544,702)	(2,209,713)
Proceeds from disposal of property, plant & equipment	9,187	591	13,497	3,704
Net cash flow from reverse repurchase agreements	(1,000,000)	10,000,000	(6,445,443)	10,076,600
Net cash flow from financial assets - FVPL	295,543	474,885	420,114	512,307
Net cash flow from debt instruments at amortised cost	(29,421,237)	(109,767,329)	(27,956,564)	(110,105,303)
Net cash flow from financial assets - FVOCI	(150,588,119)	(151,786,388)	(150,588,119)	(151,786,388)
Purchase of intangible assets	(523,288)	(429,348)	(523,768)	(437,982)
Dividend received from financial assets	135,712	138,679	137,069	140,163
Net cash used in investing activities	(183,328,171)	(252,956,096)	(188,487,916)	(253,806,612)
Cash flows from financing activities				
Proceeds from the issue of debentures	-	10,000,000	4,000,000	10,000,000
Redemption of debentures	(7,000,000)	(7,500,000)	(8,500,000)	(9,500,000)
Net proceeds from securitisation	-	-	(457,999)	(1,705,002)
Repayment of long term bond	-	(600,000)	-	(600,000)
Dividend paid	(6,860,299)	(4,145,494)	(6,860,299)	(4,145,494)
Repayment of principal portion of lease liabilities	(1,862,720)	(1,684,608)	(1,180,132)	(945,581)
Net cash used in financing activities	(15,723,019)	(3,930,102)	(12,998,430)	(6,896,077)
Net cash (used in)/generated during the year	(36,022,686)	29,488,884	(35,869,253)	29,511,826
Net foreign exchange difference	(5,305,469)	(6,559,801)	(5,305,469)	(6,559,801)
Cash & cash equivalents at the beginning of the year	113,001,014	90,071,931	112,814,749	89,862,724
Cash & cash equivalents at the end of the year	71,672,859	113,001,014	71,640,027	112,814,749

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

	Bank		Group	
	31st December 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	31st December 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000
As at				
1.1 Gross loans & advances	964,576,145	877,317,072	1,009,260,995	911,925,231
Less: Accumulated impairment under stage 1	9,810,450	12,906,592	9,885,943	12,913,484
Accumulated impairment under stage 2	15,131,439	24,962,148	15,910,717	25,746,701
Accumulated impairment under stage 3	79,482,646	83,012,773	81,513,854	85,909,327
Net loans & advances	860,151,610	756,435,559	901,950,481	787,355,719
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	84,400	182,672	84,400	182,672
Leasing	28,404,717	21,349,645	61,021,594	50,621,080
Housing loans	49,894,932	49,859,121	49,894,932	49,859,121
Export loans	5,848,686	4,990,737	5,848,686	4,990,737
Import loans	92,185,840	68,914,981	92,185,840	68,914,981
Refinance loans	5,511,241	5,556,161	5,511,241	5,556,161
Term loans				
Long term	363,666,340	356,523,264	363,572,046	351,986,152
Short term	11,260,393	3,954,496	11,260,393	5,640,068
Overdraft	92,720,824	84,268,300	92,701,910	83,769,781
Staff loans	11,896,324	10,313,063	12,064,511	10,428,627
Pawning and gold loans	88,415,351	80,715,233	99,861,831	88,683,130
Credit cards	21,410,705	21,027,761	21,410,686	21,027,720
Money market loans	49,750,754	30,700,866	49,750,754	30,700,866
Factoring	1,753,817	1,831,406	1,897,655	1,985,699
Others	12,251	11,469	434,946	460,539
Sub total	822,816,575	740,199,175	867,501,425	774,807,334
Foreign currency				
Bills of exchange	2,203,590	2,111,535	2,203,590	2,111,535
Housing loans	186,870	329,343	186,870	329,343
Export loans	23,795,689	30,526,159	23,795,689	30,526,159
Import loans	10,416,519	13,584,472	10,416,519	13,584,472
Term loans				
Long term	85,790,311	81,155,774	85,790,311	81,155,774
Short term	11,077,178	183,309	11,077,178	183,309
Overdraft	8,286,012	9,202,712	8,286,012	9,202,712
Others	3,401	24,593	3,401	24,593
Sub total	141,759,570	137,117,897	141,759,570	137,117,897
Total gross loans and advances	964,576,145	877,317,072	1,009,260,995	911,925,231

1.3 Movement of Impairment During the Year

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,906,592	24,962,148	83,012,773	120,881,513
Net (reversal)/charge for the year	(2,855,375)	(9,099,027)	14,725,750	2,771,348
Write-off during the year	-	-	(13,713,315)	(13,713,315)
Interest income accrued on impaired loans & advances	-	-	(5,198,011)	(5,198,011)
Other movements including exchange differences	(240,767)	(731,682)	655,449	(317,000)
Balance as at 31st December 2024	9,810,450	15,131,439	79,482,646	104,424,535

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,913,484	25,746,701	85,909,327	124,569,512
Net (reversal)/charge for the year	(2,786,774)	(9,104,302)	14,550,107	2,659,031
Write-off during the year	-	-	(14,402,471)	(14,402,471)
Interest income accrued on impaired loans & advances	-	-	(5,198,552)	(5,198,552)
Other movements including exchange differences	(240,767)	(731,682)	655,443	(317,006)
Balance as at 31st December 2024	9,885,943	15,910,717	81,513,854	107,310,514

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

		Bank		Group	
As at		31st December 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	31st December 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000
2.1	Gross commitments and contingencies	527,461,315	484,568,563	524,898,212	483,014,792
	Less: Accumulated impairment under stage 1	2,027,337	2,507,806	2,005,823	2,491,821
	Accumulated impairment under stage 2	1,000,137	701,999	1,000,137	701,999
	Accumulated impairment under stage 3	589,520	25,693	589,520	25,693
	Net commitments and contingencies	523,844,321	481,333,065	521,302,732	479,795,279
2.2	Product-wise commitments and contingencies				
	Local currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	130,621,587	116,854,253	127,964,746	115,140,510
	Undrawn - indirect credit facilities	100,355,887	65,688,629	100,355,887	65,688,629
	Acceptances	43,094	26,325	43,094	26,325
	Documentary credit	493,673	1,003,478	493,673	1,003,478
	Guarantees	32,709,383	31,886,127	32,710,383	31,889,127
		264,223,624	215,458,812	261,567,783	213,748,069
	Other commitments & contingencies				
	Capital commitments	1,419,564	632,692	1,512,302	789,664
	Operating lease commitments	100,937	84,450	100,937	84,450
	Forward exchange contracts	15,142,955	5,288,272	15,142,955	5,288,272
	Currency SWAPs	102,652,002	107,447,795	102,652,002	107,447,795
		119,315,458	113,453,209	119,408,196	113,610,181
	Sub total	383,539,082	328,912,021	380,975,979	327,358,250
	Foreign currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	31,818,805	38,693,848	31,818,805	38,693,848
	Undrawn - indirect credit facilities	7,311,473	3,214,738	7,311,473	3,214,738
	Acceptances	16,722,320	10,642,621	16,722,320	10,642,621
	Documentary credit	25,226,514	27,338,763	25,226,514	27,338,763
	Guarantees	6,765,517	3,605,317	6,765,517	3,605,317
		87,844,629	83,495,287	87,844,629	83,495,287
	Other commitments & contingencies				
	Capital commitments	532,448	300,712	532,448	300,712
	Forward exchange contracts	36,552,533	23,146,684	36,552,533	23,146,684
	Currency SWAPs	18,992,623	48,713,859	18,992,623	48,713,859
		56,077,604	72,161,255	56,077,604	72,161,255
	Sub total	143,922,233	155,656,542	143,922,233	155,656,542
	Total gross commitments and contingencies	527,461,315	484,568,563	524,898,212	483,014,792

2.3 Movement of Impairment During the Year

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,507,806	701,999	25,693	3,235,498
Net (reversal)/charge for the year	(438,217)	337,064	565,622	464,469
Other movements including exchange differences	(42,252)	(38,926)	(1,795)	(82,973)
Balance as at 31st December 2024	2,027,337	1,000,137	589,520	3,616,994

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,491,821	701,999	25,693	3,219,513
Net (reversal)/charge for the year	(443,746)	337,064	565,622	458,940
Other movements including exchange differences	(42,252)	(38,926)	(1,795)	(82,973)
Balance as at 31st December 2024	2,005,823	1,000,137	589,520	3,595,480

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	31st December 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	31st December 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000
Local Currency Deposits				
Demand deposits	66,394,391	59,048,988	66,377,158	59,008,095
Saving deposits	346,557,832	272,907,275	346,311,065	272,917,719
Call deposits	3,472	3,743	3,472	3,743
Fixed deposits	826,447,841	698,430,507	857,995,976	721,369,450
Certificates of deposits	5,635,081	5,391,335	5,635,081	5,391,335
Margin deposits	1,647,558	1,121,567	1,647,558	1,121,567
Total local currency deposits	1,246,686,175	1,036,903,415	1,277,970,310	1,059,811,909
Foreign Currency Deposits				
Demand deposits	7,679,069	9,130,948	7,679,069	9,130,948
Saving deposits	78,528,703	80,753,895	78,528,703	80,753,895
Fixed deposits	122,794,214	126,656,250	122,794,214	126,656,250
Margin deposits	176,255	198,039	176,255	198,039
Total foreign currency deposits	209,178,241	216,739,132	209,178,241	216,739,132
Total deposits	1,455,864,416	1,253,642,547	1,487,148,551	1,276,551,041

EXPLANATORY NOTES

- There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2023.
- The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
- There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
- These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
- The External Auditors, Messrs Ernst & Young carried out an audit for the year ended 31st December 2024 and expressed an unqualified opinion on the Financial Statements of the Bank and the Group for the year ended 31st December 2024.

6. Market Price of a Share	2024 (Rs)	2023 (Rs)
Market Price as at 31st December	118.25	70.50
Highest Market Price during the quarter ended 31st December	119.00	74.00
Lowest Market Price during the quarter ended 31st December	77.10	60.00
Weighted Average Market Price during the quarter ended 31st December	93.82	67.76

Quoted shares and debentures of the Bank are only traded in Sri Lankan Rupees

7. Restructuring of Sri Lanka International Sovereign Bonds (SLISBs)

In December 2024, the Government of Sri Lanka successfully completed the restructuring of its Sri Lanka International Sovereign Bonds (SLISBs). Consequently, the Bank recognised the newly issued bonds and derecognised the SLISBs held as at the date of restructuring. The Bank elected to participate in the Local Option of the SLISB restructuring proposal, which was specifically offered to local bondholders by the Government. As part of this option, 30% of the face value of the SLISBs originally held by the Bank was converted into rupee-denominated Treasury Bonds. The remaining 70% of the face value was settled through a USD-denominated Step-Up Bond, with a capital haircut of 10%. Additionally, the accrued coupon (Past Due Interest) on the original SLISBs up to 31st March 2024 was settled through a USD-denominated bond (PDI Bond) at a haircut of 11%.

The restructuring of SLISBs resulted in a loss of Rs 8,365 Mn, which is included under "Net gain/(loss) on derecognition of financial assets". The reversal of the brought forward impairment provisions, amounting to Rs 15.8 Bn, is accounted for under the "Impairment (reversal)/charge".

The breakdown of the new instruments received in settlement of SLISBs held as at the date of restructuring is as follows.

Type of Bond	Face Value Rs 000	Coupon Rate	Fair value as at the Date of Restructuring Rs 000	Amortised Cost as at 31st December 2024 Rs 000	Maturity/Amortisation
Rupee denominated Treasury Bonds	8,792,026	SLFR + 0.5%	8,792,026	9,028,099	2036 to 2043
USD denominated Step-Up Bond	18,650,260	1% to 3.5%	11,173,397	11,069,794	2029 to 2038 (Nonlinear amortisation)
USD denominated PDI Bond	3,854,074	4.0%	3,558,835	3,320,331	2024 to 2028 (Nonlinear amortisation)

Additionally, a consent fee bond of Rs 563.7 Mn (USD 1.92 Mn) was received by the Bank, which matured on 27th December 2024. This has been considered in determining the derecognition loss recognised in the profit for the year ended 31st December 2024.

Discount rate used in the determination of fair value.

A discount rate of 10.25% was applied in determining the fair value of the PDI Bond, which was calculated by adding a risk premium to the US Treasury Rate prevailing as at the date of restructuring. For the Step-Up Bond, a discount rate of 8.5% was used. The Government of Sri Lanka has reserved the right to settle the Step-Up Bond in Sri Lankan Rupees if it is unable to settle in US dollars. As a result, a lower discount rate was applied to the Step-Up Bond, reflecting the rupee settlement option and the corresponding reduction in credit risk. Rupee-denominated Treasury Bonds are issued at the Standard Lending Facility Rate (SLFR) + 0.5%, with interest to be reset every six months. As these are market-linked instruments, the Bank concluded that there is no material difference between the face value and the fair value of the bonds at the date of initial recognition.

Sensitivity of the fair value of the bonds to discount rate

A 1% increase/decrease in the discount rate of both the Step-Up Bond and the PDI Bond would decrease/increase the fair value by approximately Rs 1 Bn. Consequently, the loss recognised in the profit or loss would have increased/decreased by Rs 1 Bn.

Classification of the new bonds

The new bonds have been classified under amortised cost. As of 31st December 2024, the Bank has continued to recognise the new USD denominated bonds under Stage 2. Although the Bank recognised an impairment provision of Rs 271 Mn on the PDI Bond, no impairment provision has been recognised on the Step-Up Bond since the government has the option of settling the Step-Up Bond in LKR, if it is unable to settle the bonds in USD. The LKR Treasury Bonds received in settlement of restructured SLISBs have been considered under Stage 1, similar to other government securities denominated in LKR, with no impairment provisions recognised on such bonds. Both USD and LKR Bonds have been classified under Level 2 of the fair value hierarchy.

Special Reserve on SLISB Step-Up Bond

The Central Bank of Sri Lanka instructed banks to establish a special temporary reserve equivalent to 15% of the amortised cost of the USD Step-Up Bonds received in settlement of the restructured SLISBs. This requirement is effective for a six-month period starting from 31st December 2024. The amortized cost of the USD Step-Up Bonds stood at Rs 11,070 Mn as of 31st December 2024, requiring the Bank to transfer Rs 1,660.5 Mn to this reserve. Notably, this new reserve shall not be included in the Bank's regulatory capital.

8. Impairment of financial assets - Loans and advances

The Bank performed a detailed review of its Individually Significant Customers (ISL) and recognised appropriate provisions in its Financial Statements, taking into account the unique risk profiles associated with each of these customers. The Bank discontinued most of the allowance for overlays during the year ended 31st December 2024, as the economy returned to normalcy. The provisions recognised as allowances for overlay were utilized during the year with the deterioration in the credit quality of a few customers, while the remaining balance was written back to profit. The Bank updated its PD and LGD calculations using the current year data to determine the impairment provisions as of 31st December 2024. Furthermore, the values assigned to various macroeconomic variables were revised using the latest data published by the Central Bank of Sri Lanka, the International Monetary Fund, and other relevant sources. Additionally, the weightings assigned to best, base, and worst-case scenarios were adjusted to reflect the country's improved macroeconomic outlook since the end of 2023.

9. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements other than the items disclosed under 9.1 and 9.2 below.

9.1 Proposed Dividend

The Directors of the Bank have recommended a final cash dividend of Rs 9.35 per share for the financial year ended 31st December 2024. This dividend is to be approved by the shareholders at the Annual General Meeting to be held on 28th March 2025.

In accordance with Sri Lanka Accounting Standard - LKAS 10 (Events after the Reporting Period), this proposed final dividend has not been recognised as a liability as at 31st December 2024. As required by Section 56 (2) of the Companies Act No. 7 of 2007, the Board of Directors has confirmed that the Bank has satisfied the 'solvency test' in accordance with Section 57 of the Companies Act No. 7 of 2007, having obtained a certificate from the External Auditors, prior to recommending the final dividend for the year.

9.2 Revision of National Long Term Rating by Fitch Ratings

Following the recent sovereign upgrade and recalibration of Sri Lanka national rating scale by Fitch Ratings Lanka Ltd, effective 21st January 2025, Sampath Bank's National Long Term rating has been upgraded to 'AA-(lka)' from 'A (lka)'. National Long Term Rating of the outstanding Basel III compliant subordinated debentures issued by the Bank has been upgraded to 'A (lka)' from 'BBB+(lka)'. Further, National Long Term Rating of the proposed Basel III compliant subordinated debentures to be issued by the Bank has been upgraded to 'A(EXP) (lka)' from 'BBB+(EXP)(lka)'.

10. Proposed Debenture Issue

The Board of Directors of the Bank at its meeting held on 7th August 2024 decided to issue up to 50,000,000 Basel III compliant - Tier 2, Listed, Rated Unsecured, Subordinated, Redeemable, 5 year debentures with a Non-Viability Conversion, of the par value of Rs.100/- each, to raise a sum of up to Rs 5 Bn with an option to issue up to a further 20,000,000 of said debentures to increase the said sum by up to a further Rs 2 Bn at the discretion of the Bank in the event of an oversubscription of the initial issue and with a further option to issue up to a further 30,000,000 of said debentures to increase the said sum by up to a further Rs 3 Bn at the discretion of the Bank in the event of an oversubscription of the initial issue and the second tranche. The proposed debenture has been approved by the shareholders and the Central Bank of Sri Lanka.

11. Utilisation of funds raised via capital markets

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 31ST DECEMBER 2024

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	175,352,762	14.95
2 Phantom Investments (Pvt) Limited	117,270,076	10.00
3 Mr Y S H I Silva	117,000,065	9.98
4 Employees' Provident Fund	116,948,697	9.97
5 Rosewood (Pvt) Limited	55,270,454	4.71
6 Ayenka Holdings Private Limited	42,100,476	3.59
7 Akbar Brothers Pvt Ltd A/C No.1	36,898,792	3.15
8 Mr W Jinadasa	18,348,658	1.56
9 Mrs P D A S Beruwalage	12,012,417	1.02
10 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
11 Andaradeniya Estate (Pvt) Ltd	11,109,352	0.95
12 First Capital Holdings PLC	10,100,000	0.86
13 BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
14 SSBT - AL Mehwar Commercial Investments L.L.C.	9,725,281	0.83
15 ARRC Capital (Pvt) Ltd	8,738,312	0.75
16 BBH - Tundra Shikari Global	8,440,000	0.72
17 Ranavav Holdings (Pvt) Ltd	7,935,000	0.68
18 Employees' Trust Fund Board	7,633,883	0.65
19 Janashakthi Insurance PLC - Shareholders	7,500,000	0.64
20 Magna Wealth (Pvt) Ltd	6,936,815	0.59
	790,991,130	67.45
Shares held by Directors	675,639	0.06
Balance held by other shareholders	381,033,991	32.49
Total	1,172,700,760	100.00

As at	31st December 2024
Number of public shareholders	30,637
Percentage of public holding	98.85%
Float adjusted market capitalization	Rs 137 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 31st December 2024	As at 31st December 2023
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Mr Vajira Kulatilaka	-	-
6 Ms R K Jayawardena	-	-
7 Mr Vinod Hirdaramani	668,087	288,087
8 Mr Hiran Cabraal	-	-
9 Mr Roger Keith Modder (appointed w.e.f. 02nd April 2024)	6,941	Not applicable
10 Ms Ayodhya Iddawela Perera (Managing Director)	611	611
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group (Audited)

For the year ended 31st December	Corporate Banking		SME & Retail Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	15,925,716	31,725,132	51,655,744	60,336,407	26,415,943	24,434,813	4,456,915	2,939,020	(13,792,244)	(43,992,438)	84,662,074	75,442,934
Net fee & commission income	4,785,210	5,837,647	14,136,655	14,375,067	(38,125)	(20,005)	688,141	632,468	(1,374,488)	(1,306,240)	18,197,393	19,518,937
Net (loss)/gain from trading	-	-	-	-	(1,777,456)	761,786	73,194	(52,810)	-	-	(1,704,262)	708,976
Net (loss)/gain on derecognition of financial assets	-	-	-	-	(7,230,523)	591,711	(44,788)	7,712	-	-	(7,275,311)	599,423
Net other operating income	104,991	116,419	2,298,906	1,330,825	1,428,867	2,521,496	2,341,744	1,886,930	(5,965,500)	(6,663,049)	209,008	(807,379)
Total revenue from external customers	20,815,917	37,679,198	68,091,305	76,042,299	18,798,706	28,289,801	7,515,206	5,413,320	(21,132,232)	(51,961,727)	94,088,902	95,462,891
Inter segment (expense)/income	(414,263)	(958,968)	416,441	1,034,119	-	5,478	-	-	(2,178)	(80,629)	-	-
Total operating income	20,401,654	36,720,230	68,507,746	77,076,418	18,798,706	28,295,279	7,515,206	5,413,320	(21,134,410)	(52,042,356)	94,088,902	95,462,891
Less: Impairment charge/(reversal)	3,334,962	8,545,960	(96,892)	8,530,645	(15,785,676)	3,022,199	(177,345)	95,085	853,476	15,713	(11,871,475)	20,209,602
Net operating income	17,066,692	28,174,270	68,604,638	68,545,773	34,584,382	25,273,080	7,692,551	5,318,235	(21,987,886)	(52,058,069)	105,960,377	75,253,289
Less: Total operating expenses	860,350	768,851	19,988,540	17,366,430	414,236	282,740	4,165,607	3,104,726	17,373,658	13,443,588	42,802,391	34,966,335
Segment result	16,206,342	27,405,419	48,616,098	51,179,343	34,170,146	24,990,340	3,526,944	2,213,509	(39,361,544)	(65,501,657)	63,157,986	40,286,954
Less: Taxes on financial services											13,969,717	9,085,431
Less: Income tax expense											20,485,009	13,277,241
Profit for the year											28,703,260	17,924,282
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											28,703,260	17,924,282
As at 31st December	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	442,436,102	399,963,849	1,545,079,683	1,341,134,368	802,816,207	639,522,102	72,141,750	57,174,066	201,186,007	143,553,534	3,063,659,749	2,581,347,919
Unallocated assets	-	-	-	-	-	-	-	-	(1,226,664,383)	(993,971,931)	(1,226,664,383)	(993,971,931)
Total assets	442,436,102	399,963,849	1,545,079,683	1,341,134,368	802,816,207	639,522,102	72,141,750	57,174,066	(1,025,478,376)	(850,418,397)	1,836,995,366	1,587,375,988
Segment liabilities	428,354,853	375,296,226	1,505,861,912	1,299,612,694	764,625,061	609,545,832	56,682,788	43,346,077	123,906,537	89,644,201	2,879,431,151	2,417,445,030
Unallocated liabilities	-	-	-	-	-	-	-	-	(1,220,318,097)	(987,899,534)	(1,220,318,097)	(987,899,534)
Total liabilities	428,354,853	375,296,226	1,505,861,912	1,299,612,694	764,625,061	609,545,832	56,682,788	43,346,077	(1,096,411,560)	(898,255,333)	1,659,113,054	1,429,545,496
For the year ended 31st December	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	(33,563,684)	88,631,225	138,697,501	130,936,617	95,193,049	104,587,734	2,588,589	3,839,433	(37,298,362)	(37,780,494)	165,617,093	290,214,515
Cash flows from investing activities	97,826	116,418	-	-	(180,713,723)	(251,078,832)	(5,159,745)	(850,517)	(2,712,274)	(1,993,681)	(188,487,916)	(253,806,612)
Cash flows from financing activities	-	-	-	-	-	-	2,724,589	(2,965,975)	(15,723,019)	(3,930,102)	(12,998,430)	(6,896,077)
Capital expenditure	-	-	-	-	-	-	(1,309,213)	(631,161)	(2,759,257)	(2,016,534)	(4,068,470)	(2,647,695)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 31st December 2024 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	46,229,318	-	46,229,318
Balances with Central Bank of Sri Lanka	-	16,373,983	-	16,373,983
Placements with banks	-	26,452,245	-	26,452,245
Reverse repurchase agreements	-	1,000,220	-	1,000,220
Derivative financial instruments	507,054	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	-	4,614,332
Financial assets at amortised cost				
- loans & advances	-	860,151,610	-	860,151,610
- debt & other instruments	-	401,280,763	-	401,280,763
Financial assets - fair value through other comprehensive income	-	-	367,782,512	367,782,512
Other assets	-	12,571,604	-	12,571,604
Total Financial Assets	5,121,386	1,364,059,743	367,782,512	1,736,963,641

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	23,259,811	23,259,811
Derivative financial instruments	3,200,590	-	3,200,590
Securities sold under repurchase agreements	-	40,312,784	40,312,784
Financial liabilities at amortised cost			
- due to depositors	-	1,455,864,416	1,455,864,416
- due to other borrowers	-	8,061,364	8,061,364
- due to debt securities holders	-	18,891,500	18,891,500
Dividend payable	-	298,695	298,695
Other liabilities	-	30,918,520	30,918,520
Total Financial Liabilities	3,200,590	1,577,607,090	1,580,807,680

Bank - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	-	-	-
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	4,744,188
Financial assets at amortised cost				
- loans & advances	-	756,435,559	-	756,435,559
- debt & other instruments	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	216,022,295	216,022,295
Other assets	-	27,778,625	-	27,778,625
Total Financial Assets	5,331,765	1,279,791,449	216,022,295	1,501,145,509

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,621,838	11,621,838
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,688,209	34,688,209
Financial liabilities at amortised cost			
- due to depositors	-	1,253,642,547	1,253,642,547
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	26,709,893	26,709,893
Dividend payable	-	212,571	212,571
Other liabilities	-	32,953,593	32,953,593
Total Financial Liabilities	1,498,777	1,366,465,780	1,367,964,557

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 31st December 2024 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	46,501,139	-	46,501,139
Balances with Central Bank of Sri Lanka	-	16,373,983	-	16,373,983
Placements with banks	-	26,452,245	-	26,452,245
Reverse repurchase agreements	-	6,596,063	-	6,596,063
Derivative financial instruments	507,054	-	-	507,054
Financial assets recognised through profit or loss - measured at fair value	4,614,332	-	-	4,614,332
Financial assets at amortised cost				
- loans & advances	-	901,950,481	-	901,950,481
- debt & other instruments	-	405,616,020	-	405,616,020
Financial assets - fair value through other comprehensive income	-	-	367,782,568	367,782,568
Other assets	-	14,358,414	-	14,358,414
Total Financial Assets	5,121,386	1,417,848,345	367,782,568	1,790,752,299

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	30,067,815	30,067,815
Derivative financial instruments	3,200,590	-	3,200,590
Securities sold under repurchase agreements	-	40,312,784	40,312,784
Financial liabilities at amortised cost			
- due to depositors	-	1,487,148,551	1,487,148,551
- due to other borrowers	-	8,061,364	8,061,364
- due to debt securities holders	-	24,741,652	24,741,652
Dividend payable	-	298,695	298,695
Other liabilities	-	31,040,787	31,040,787
Total Financial Liabilities	3,200,590	1,621,671,648	1,624,872,238

Group - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	150,400	-	150,400
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	-	4,841,302
Financial assets at amortised cost				
- loans & advances	-	787,355,719	-	787,355,719
- debt & other instruments	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	216,022,351	216,022,351
Other assets	-	29,462,947	-	29,462,947
Total Financial Assets	5,428,879	1,318,604,331	216,022,351	1,540,055,561

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	17,344,766	17,344,766
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,438,086	34,438,086
Financial liabilities at amortised cost			
- due to depositors	-	1,276,551,041	1,276,551,041
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	30,386,809	30,386,809
Dividend payable	-	212,571	212,571
Other liabilities	-	33,316,061	33,316,061
Total Financial Liabilities	1,498,777	1,398,886,463	1,400,385,240

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the published yield curves. The Bank uses the prices quoted in Bloomberg to value the US Treasuries.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3, compared to the values reported as at 31st December 2023. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 31st December 2024.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 31st December 2024 (Audited)				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	
	(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000		(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	507,054	-	507,054	-	587,577	-	587,577
Financial assets - fair value through profit or loss	4,614,332	-	-	4,614,332	4,744,188	-	-	4,744,188
Financial assets - fair value through other comprehensive income	367,578,758	-	203,754	367,782,512	211,004,648	4,957,076	60,571	216,022,295
Total financial assets measured at fair value	372,193,090	507,054	203,754	372,903,898	215,748,836	5,544,653	60,571	221,354,060
Financial liabilities measured at fair value								
Derivative financial instruments	-	3,200,590	-	3,200,590	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	3,200,590	-	3,200,590	-	1,498,777	-	1,498,777

Group

Date of Valuation	As at 31st December 2024 (Audited)				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs		Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	
	(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000		(Level 1) Rs 000	(Level 2) Rs 000	(Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	507,054	-	507,054	-	587,577	-	587,577
Financial assets - fair value through profit or loss	4,614,332	-	-	4,614,332	4,841,302	-	-	4,841,302
Financial assets - fair value through other comprehensive income	367,578,758	-	203,810	367,782,568	211,004,648	4,957,076	60,627	216,022,351
Total financial assets measured at fair value	372,193,090	507,054	203,810	372,903,954	215,845,950	5,544,653	60,627	221,451,230
Financial liabilities measured at fair value								
Derivative financial instruments	-	3,200,590	-	3,200,590	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	3,200,590	-	3,200,590	-	1,498,777	-	1,498,777

The regulatory floor price imposed on the shares of LankaBangla Finance PLC was lifted in January 2024. Since then, the shares are being actively traded in the Dhaka Stock Exchange. Accordingly, the investment in LankaBangla Finance PLC was transferred from Level 2 to Level 1 as at 31st December 2024.

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 31st December 2024 (Audited)					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	862,032,418	-	862,032,418	860,151,610	-	756,414,366	-	756,414,366	756,435,559
debt & other instruments	354,429,078	53,244,486	-	407,673,564	401,280,763	316,477,987	48,582,784	-	365,060,771	368,100,002
	354,429,078	915,276,904	-	1,269,705,982	1,261,432,373	316,477,987	804,997,150	-	1,121,475,137	1,124,535,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	23,259,811	-	23,259,811	23,259,811	-	11,621,838		11,621,838	11,621,838
due to depositors - fixed & certificate of deposits	-	961,296,733	-	961,296,733	954,877,136	-	838,327,706	-	838,327,706	830,478,092
due to debt securities holders	-	23,059,835	-	23,059,835	18,891,500	-	29,764,020	-	29,764,020	26,709,893
	-	1,007,616,379	-	1,007,616,379	997,028,447	-	879,713,564	-	879,713,564	868,809,823

Group

Date of Valuation	As at 31st December 2024 (Audited)					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	907,820,422	-	907,820,422	901,950,481	-	791,028,334	-	791,028,334	787,355,719
debt & other instruments	358,764,335	53,244,486	-	412,008,821	405,616,020	322,277,827	48,582,784	-	370,860,611	373,899,842
	358,764,335	961,064,908	-	1,319,829,243	1,307,566,501	322,277,827	839,611,118	-	1,161,888,945	1,161,255,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	30,160,890	-	30,160,890	30,067,815	-	17,337,165	-	17,337,165	17,344,766
due to depositors - fixed & certificate of deposits	-	992,738,798	-	992,738,798	986,425,271	-	861,671,761	-	861,671,761	853,417,035
due to debt securities holders	-	28,863,197	-	28,863,197	24,741,652	-	33,281,286	-	33,281,286	30,386,809
	-	1,051,762,885	-	1,051,762,885	1,041,234,738	-	912,290,212	-	912,290,212	901,148,610

Treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) in 2023 and treasury bonds received in settlement of Sri Lanka International Sovereign Bonds in 2024 have been classified under level 2 since there is no active market for such bonds.

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 9.00%	N/T	100.00	N/T	100.00	N/T	100.00

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 28.00%	N/T	148.00	N/T	129.09	N/T	129.09
Floating rate	N/T	N/T	N/T	N/T	N/T	N/T

N/T - Not Traded

(b) Interest Rates

Debentures - 2021/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	28.00%	28.00%
Floating rate	Note 01			

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

(c) Interest Rates of Comparable Government Securities

	2024	2023
3 Month Treasury Bill	8.62%	14.51%
6 Month Treasury Bill	8.77%	14.16%
5 Year Treasury Bond	10.64%	13.75%
7 Year Treasury Bond	11.05%	13.45%

(d) Current Yield & Yield to Maturity

Debentures - 2021/2028	Fixed 9.00%	
	2024	2023
Current yield	N/T	9.00%
Yield to maturity of last trade	N/T	8.97%

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2024	2023	2024	2023
Current yield	N/T	21.69%	N/T	N/T
Yield to maturity of last trade	N/T	17.50%	N/T	N/T

N/T - Not Traded

Note 02

Debentures - 2019/2024

The Bank has redeemed the debentures issued in 2019 amounting to Rs 7.0 Bn on 28th February 2024.

(e) Ratios - Bank

	31.12.2024	31.12.2023
Debt to Equity Ratio (%)	9.6	15.6
Interest Cover (Times)	18.1	9.7
Quick Asset Ratio (%)	70.1	72.0

SELECTED PERFORMANCE INDICATORS/KEY FINANCIAL DATA (AS PER REGULATORY REPORTING)

Item	As at 31st December 2024	As at 31st December 2023	As at 31st December 2024	As at 31st December 2023
	Bank		Group	
Regulatory Capital Adequacy (Rs 000)				
Common Equity Tier 1 Capital	131,766,084	118,530,902	142,561,898	128,072,822
Tier 1 Capital	131,766,084	118,530,902	142,561,898	128,072,822
Total Regulatory Capital	152,522,320	141,853,666	163,818,916	151,849,708
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	16.75	16.35	17.10	16.67
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	16.75	16.35	17.10	16.67
Total Capital Ratio (Minimum Requirement - 12.5%)	19.38	19.56	19.65	19.77
Basel III Leverage Ratio % (Minimum Requirement - 3%)	7.24	6.39	7.58	6.73

	As at 31st December 2024	As at 31st December 2023
	Bank	
Regulatory Liquidity Requirement		
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 100%)	340.11	453.16
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 100%)	307.36	312.47
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	198.66	184.20
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) to Total Loans Ratio %	4.69	5.87
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	60.08	57.80
Income & Profitability		
Net Interest Margin, %	4.90	5.16
Return on Assets (Before Tax), %	2.84	2.12
Return on Equity (After Tax), %	17.74	12.65
Cost to Income Ratio (%)	44.95	35.68
Memorandum Information		
Credit Rating - Fitch	AA- (lka)	A (lka)
Number of Employees	4,428	4,179
Number of Branches	229	229